future leaders
INSTITUT TEKNOLOGI SEPULUH NOPEMBER

#DoWellDoGood

dwdg. Mini Case Competition 2026

Case

Overview

Telekomunikasi Seluler (Telkomsel)

Who is Telekomunikasi Seluler (Telkomsel)?

Telkomsel is one of Indonesia's leading digital telecommunications companies, serving 156.1 million mobile customers and 10.3 million IndiHome B2C customers in 2025. Its network was supported by 293,136 BTS, providing a broad foundation for both mobile and household connectivity services. For household connectivity, Telkomsel operates multiple propositions, including IndiHome and Telkomsel Orbit. IndiHome serves as a digital home solution offering internet, phone line, and interactive TV services, while Orbit provides home broadband through Wi-Fi modems connected to Telkomsel's 4G and 5G cellular infrastructure, with prepaid and postpaid options, easy activation, and flexible data packages. These offerings are also part of Telkomsel's broader convergence strategy. Through Telkomsel One, the company integrates home and mobile connectivity to create a more unified digital experience for customers.

Introduction

Connecting Every Home: Optimizing Telkomsel's Household Connectivity Portfolio

Demand for household broadband continues to grow, but sustainable growth requires more than simply acquiring additional subscribers. In 2025, IndiHome B2C customers increased by 7.4% to 10.3 million, yet its ARPU declined by 10.1% to Rp213.5 thousand. Telkomsel attributed this pressure to intense competition in the fixed broadband segment and a shift in customer mix toward single-play packages. Telkomsel has consequently emphasized customer quality, retention, selective acquisition, and convergence, rather than pursuing subscriber expansion at any cost. At the same time, Telkomsel's household portfolio is supported by two different connectivity approaches. IndiHome represents the company's fixed broadband proposition, while Orbit provides fixed wireless access with simpler installation and more flexible usage options. In 2025, Orbit's packages were revamped to simplify the offering and strengthen accessibility for households. This creates a strategic opportunity to determine which household customers should be served by which connectivity proposition, how IndiHome and Orbit should be differentiated, and how both products can

complement each other within Telkomsel's broader ecosystem.

Key Question

As household connectivity needs become increasingly diverse, how should Telkomsel differentiate and position IndiHome and Orbit across customer segments to unlock stronger long-term household value without relying primarily on price competition?

Scope of The Case

Expectations

Participants are expected to develop one integrated household connectivity strategy, rather than two separate growth strategies for IndiHome and Orbit. The recommendation should clearly identify priority customer segments, explain their different connectivity needs, and justify the appropriate role of IndiHome and Orbit for each segment. Participants should avoid treating both products as interchangeable and instead demonstrate how their different characteristics can be used to create a clearer and more relevant household portfolio. The proposed strategy should consider the balance between customer acquisition, affordability, retention, monetization, customer experience, and product differentiation. Participants are encouraged to explore opportunities such as portfolio positioning, migration pathways, cross-selling, bundling, Fixed-Mobile Convergence, digital services, partnerships, or other relevant initiatives. The solution should remain commercially and operationally feasible within the Indonesian market context. The final recommendation should include an implementation roadmap, potential risks and mitigation measures, measurable KPIs, and a simplified estimation of business impact, such as subscriber conversion, ARPU uplift, retention improvement, FMC adoption, or incremental household revenue.

Key Questions for Participants

- What distinct household customer segments should Telkomsel prioritize, and what connectivity needs characterize each segment?
- What role should IndiHome and Orbit play across these customer segments?
- How can Telkomsel acquire, engage, retain, and increase the value of customers across its household connectivity portfolio?
- How should Telkomsel implement and measure the proposed household portfolio

strategy?

Supporting Data & Information

- Growing household broadband demand. IndiHome B2C customers increased from 9.6 million in 2024 to 10.3 million in 2025, equivalent to 7.4% YoY growth.
- Pressure on monetization. IndiHome B2C ARPU declined from around Rp237.6 thousand in 2024 to Rp213.5 thousand in 2025, a 10.1% decline. Telkomsel noted that intense fixed broadband competition and a shift toward single-play packages contributed to this pressure.
- Subscriber growth has not translated into equivalent revenue growth. IndiHome B2C revenue reached Rp26.168 trillion in 2025, compared with Rp26.606 trillion in 2024, representing a 1.6% decline.
- IndiHome and Orbit have different product characteristics. IndiHome is positioned as a digital home solution, while Orbit delivers home broadband through Telkomsel's 4G and 5G cellular network, with flexible prepaid and postpaid packages and easy activation.
- Orbit is positioned as a flexible fixed wireless access solution. Telkomsel describes Orbit as offering simple installation and flexible usage options. Its 2025 package revamp focused on simpler choices, competitive pricing, and broader accessibility for households.
- Telkomsel sees fiber and wireless access as complementary. The company states that its household connectivity portfolio is moving toward a broader mix of fiber and wireless access, supported by a long-term focus on profitability and growth.
- Convergence is already an important strategic lever. Telkomsel reported approximately 59% convergence penetration within its fixed customer base and identified FMC as a lever for customer stickiness, household monetization, and multi-product engagement.
- Telkomsel's strategic direction supports differentiated household propositions. The company explicitly identified sustainable household growth through sharper broadband propositions and differentiated convergence value as one of its strategic priorities.